



...Even Union Finance Minister Nirmala Sitharaman has highlighted concerns

"A STRONG SENSE OF CAUTION IS REQUIRED IN EACH ONE OF US TO MAKE SURE WE DOUBLE CHECK, COUNTER CHECK, [AND] DON'T GO AS A FLOCK INTO SOMETHING"

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THE UNHOLY NEXUS

The content provided by finfluencers could be advice for investing in the stock market, financial planning, or just about anything related to investments. But finfluencers can also include people who create content aimed solely at investor education and awareness while staying away from recommendations or advice. This difference is important to understand the regulatory dilemma.

The side that Sebi is looking to regulate is the one that deals with direct investment advice and the potential conflicts of interest there.

"The problem as it stands today is that the finfluenc-

er community has been co-opted by discount broking platforms to market and increase trading velocity. This is creating a conflict of interest within the finfluencer community that the investor is not aware of," says Gaurav Rastogi, Founder and CEO of Kuvera, an online wealth management platform.

"What investors think is genuine advice could just be clickbait to download a broking app or to trade more with their existing trading app. This conflict of interest is bad for the investor... Clear disclosure on who pays the finfluencer and how much is a must-have in this situation," adds Rastogi.

This nexus between companies or market interme-

SEBI'S LINE OF THINKING

1 Enforcement action against unregistered finfluencers will not suffice

2 Need to disrupt revenue model so that perverse incentives reduce

3 Sebi-registered intermediaries cannot engage with any unregistered finfluencers

4 Registered finfluencers should properly display registration number, investor grievance redressal helpline

5 Criminal case to be filed if unregistered finfluencer found to be impersonating or committing fraud

SOURCE SEBI

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